Award Notice

26 July 2021

ATTY. ADRIAN P. DIMACALI
Director
Mary Grace Foods, Inc.

Dear **Atty. Dimacali,**

This is to supersede the Award Notice dated 19 May 2021.

In connection with the bidding conducted by Luzon International Premier Airport Development Corporation ("LIPAD"), we would like to thank you for taking interest and submitting your proposal to lease, operate, and maintain the allocated Food & Beverage (F&B) Space/s at ***Clark International Airport Terminal 2.***

We are delighted to award your company, ***MARY GRACE FOODS, INC.,*** the following F&B space/s. Following are the basic terms and conditions for the identified leasable space in the floor layout plan attached hereto for your conforme.

<table>
<tr><td>Company Name :</td><td>Mary Grace Foods, Inc.</td></tr>
<tr><td>Trade Name :</td><td>Café Mary Grace</td></tr>
<tr><td>Nature of Business :</td><td>Food & Beverage | Cafe</td></tr>
<tr><td>Location Code :</td><td>L3-147 l 3F Domestic Pre-Departure Hall
L3-088 | 3F Domestic Pre-Departure Hall
L3-165 | 3F International Pre-Departure Hall</td></tr>
<tr><td>Total Leasable Area :</td><td>253.00 square meters (L3-147)
58.00 square meters (L3-088)
<u>30.00 square meters (L3-165)</u>
341.00 square meters in total (*subject to a joint inspection between the LESSEE's representative/s and LESSOR upon unit turn-over)</td></tr>
<tr><td>Lease Term :</td><td><table><tr><th>Location Code</th><th>Lease Term</th></tr><tr><td>L3-147</td><td>Five (5) years
01 October 2021 to 30 September 2026</td></tr><tr><td>L3-088</td><td>Five (5) years
01 October 2021 to 30 September 2026</td></tr><tr><td>L3-165</td><td>Five (5) years
01 October 2021 to 30 September 2026</td></tr></table></td></tr>
<tr><td>Turnover :</td><td>*Upon receipt of this signed Notice</td></tr>
<tr><td>Rent-Free Fit-Out Period :</td><td>Three (3) months upon turnover of the leased premises or until 30 September 2021, whichever comes first. *Exclusive of applicable utility charges</td></tr>
<tr><td>Rental Commencement Date :</td><td><table><tr><th>Location Code</th><th>Rental Commencement Date</th></tr><tr><td>L3-147</td><td>01 October 2021</td></tr><tr><td>L3-088</td><td>01 October 2021</td></tr><tr><td>L3-165</td><td>01 October 2021</td></tr></table>*Subject to adjustment depending on the actual opening of Terminal 2</td></tr>
<tr><td>RENTAL CHARGES</td><td></td></tr>
<tr><td>Monthly Rent :</td><td><table><tr><th>Location Code</th><th>Basic Monthly Rent</th><th>Minimum Monthly Guaranteed Payment ("MMG")</th><th>Revenue Share</th></tr><tr><td>L3-147</td><td>USD75.00 /sqm</td><td>USD18,975.00/mo</td><td>17% of gross sales</td></tr><tr><td>L3-088</td><td>USD75.00 /sqm</td><td>USD4,350.00/mo</td><td>NA</td></tr><tr><td>L3-165</td><td>USD75.00 /sqm</td><td>USD2,250.00/mo</td><td>17% of gross sales</td></tr></table></td></tr>
</table>

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		The LESSEE shall pay the MMG OR Revenue Share, whichever is higher, in advance, without prior demand, not later than the fifth (5th) day of each calendar month. In such case where the total amount to be derived from the Revenue Share is higher than the MMG, the LESSEE, shall settle the difference from the Revenue Share and MMG not later than the fifth (5th) day of the following month. All unpaid charges after due date shall be subjected to an interest at the rate of three (3%) percent or a fraction of a month. The LESSEE shall likewise be liable to pay the LESSOR a penalty charge of three (3%) percent per month of the overdue and unpaid amount to be computed from the first day of the month of delinquency until paid in full. **L3-147: For the period from 01 October 2021 to 30 September 2022 (one year), the LESSEE shall only pay Revenue Share based on 15% of gross sales. During this period, the LESSEE may opt to set-up a kiosk with seating and provision for hot meals first while keeping with the design standards set by LIPAD. The LESSEE will transition to a full café on Year 2.** **L3-165: For the period from 01 October 2021 to 30 September 2022 (one year), the LESSEE shall only pay Revenue Share based on 15% of gross sales.** **All other charges will apply for L3-147, L3-088 and L3-165.**
Annual Rental Increment	:	Subject to 10% of escalation on the MMG on Year 3 of the lease term and every year thereafter
Concessionaires Privilege Fee ("CPF")	:	**PHP Seven Thousand Three Hundred (7,300.00) pesos per quarter for each leased space**
Common Use Service Area ("CUSA") Expense	:	**PHP One Hundred Twenty-Five (125.00) pesos per square meter per month** *For Year 1, the computation will only be based on the actual area size used by LESSEE.*
Marketing Expense	:	**PHP Ten Thousand (10,000.00) per year for each leased space**
Security Deposit	:	Upon the execution of the Lease Agreement, a Security Deposit **equivalent to six (6) months of the MMG** amounting to **USD One Hundred Fifty-Three Thousand Four Hundred Fifty (153,450.00)** shall be paid to LIPAD, which must remain intact all throughout the lease term *The Security Deposit shall be automatically forfeited in favor of the LESSOR should (a) cancellation of your lease embodied herein after the Award Notice has been signed and confirmed; (b) LESSEE's failure to occupy and commence within the specified commencement date or (c) the Lease Agreement be terminated any grounds specified therein prior to its expiry date.*
OTHER CHARGEABLE EXPENSES **A) Water** **B) Power**	: :	LESSEE's Account, Metered, based on actual consumption** LESSEE's Account; Metered, based on actual consumption** • Note: The above utility charges shall be subject to a corresponding increase whenever the cost of electricity, labor or water, or related charge increase plus applicable 12.5% administration fee.
C) Garbage Collection Expense	:	Fixed monthly collection of **PHP Thirty-Five (35.00) per square meter per month** *For Year 1, the computation will only be based on the actual area size used by LESSEE.*
Telephone Installation	:	Charged on LESSEE's account
Point-of-Sales ("POS")	:	LESSEE to provide own Electronic Point of Sales system duly accredited by the Bureau of Internal Revenue
OTHER CONDITIONS **		1. Submit to the LESSOR an accomplished Concessionaire Information Form (CIF) and Construction Plans for approval 2. Submit to the LESSOR the services/items to be rendered/offered at the leased area for approval 3. Only approved services/items indicated shall be rendered/offered at the leased area

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	4. Fit-out % the LESSEE in accordance with the guidelines as provided by the LESSOR 5. The LESSEE shall be required to submit daily sales report generated directly from the POS as the basis for the Revenue Share 6. The LESSOR has the right to audit, as needed 7. Regulatory Fees/Permits to be shouldered by the LESSEE 8. LESSEE shall provide a progressive menu for approval of the LESSOR for Year of its operations

*While the terms and conditions stated herein are true and correct as of the date hereof, the same may be amended at the sole discretion of **LIPAD,** without need for prior notice.*

*If you are agreeable to the terms and conditions stated herein, kindly signify your conformity below. Please return the signed copy to us on or before **30 July 2021**. In the event that we do not receive signed copy, we shall take it that you are no longer interested in leasing the said area and we shall be free to offer the space to another party.*

Once we receive the signed conforme, we shall execute a Lease Agreement. It is understood that terms and conditions stated herein are not exclusive and that other conditions governing the lease and operations of an establishment shall be provided in the Lease Agreement, including but not limited to the terms that are not inconsistent with the Request for Proposal (RFP).

For and behalf of Luzon International Premiere Airport Development Corp.

Sincerely,

BI YONG CHUNGUNCO
Chief Executive Officer

CONFORME:

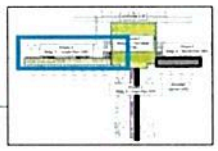
17 Aug. 21

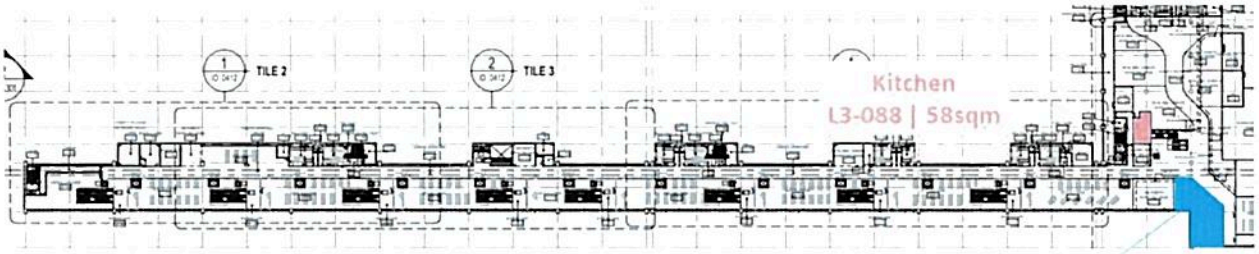
ADRIAN P. DIMACALI
Director
Date:

L3-147 I 3F Domestic Pre-Departure Hall
L3-088 I 3F Domestic Pre-Departure Hall

Commercial Spaces

Domestic Pre-Departure (Airside Level 3)



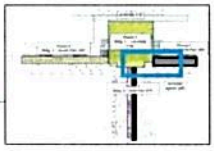


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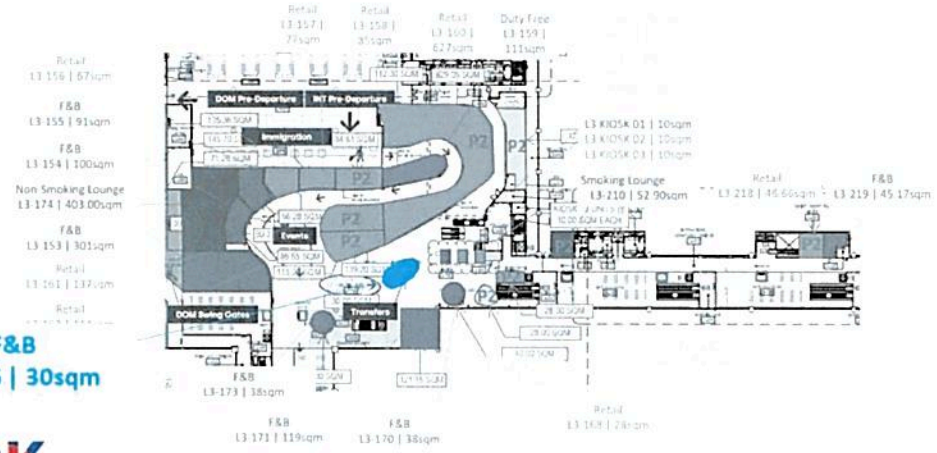
L3-165 I 3F International Pre-Departure Hall

Commercial Spaces

International Pre-Departure (Airside Level 3)



Retail | Service | F&B Seating Area
F&B* | Lounge | Duty Free



F&B
L3-165 | 30sqm

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